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US Market Thematics – Specialist Sales Commentary

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JPM | US MACRO THEMATICS - "Why Would I Want to Blow up the Global Financial System?"

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US Thematics focuses on key macro views, market debates, and favored investment themes.

Admittedly, when I sent out a note last Tuesday highlighting the strong political incentives to suppress interest rates (here), I wasn't expecting Bessent to step in *the next day*. While it's nice to have a correct impulse, there **urgency** the administration has around this specific topic is making for quite a difficult trading environment.

The long end of the Treasury curve remains the story that matters most for the market this week as active equity trading has come to a *screeching halt* due to investor absence (summer vacation season) and general paralysis ahead of some pivotal market events.

Bottom Line: The Treasury's doubled buyback program last week was swiftly challenged by the market, but the follow-up disclosure (as per CNBC) that the TGA itself may be tapped to fund further purchases raises the scale of the tool being deployed considerably (*while also raising the stakes of whether it works*)**.** That unresolved tension now sits underneath a market also absorbing fresh Iran sanctions, a new US-Canada trade dispute, Nvidia earnings (8/26), and Warsh's most consequential appearance since taking the chair (Jackson Hole, 8/28). The path from here depends heavily on how aggressively the Treasury draws down the TGA (if at all), and whether that liquidity meaningfully supports leveraged demand for long-dated Treasuries. The tone Warsh strikes Friday is equally pivotal as it is set against a backdrop where the market has already shown it will not take policy reassurance at face value.

Programming note: *While much of this piece looks beyond the equity market, fiscal sustainability and market liquidity are inherently cross-asset phenomena. The risks (and benefits) they carry rarely stay confined to a single asset class.*

The Long-End Standoff: The Treasury vs. The Market

At the risk of beating a dead horse, the Treasury more than doubled its long-dated buyback program last Wednesday from a $2bln maximum to "at least" $4bln per operation explicitly targeting 10s, 20s and 30s. **The essential takeaway is that this was a fairly undisguised attempt to cap long-end yields, and it failed within a day.** The 10-year climbed back above its pre-announcement level inside of 24 hours, prompting Bessent to *publicly insist* the buyback was *not* yield-curve control. The market called the bluff almost immediately and by Friday, the 30-year had reached its highest yield in nearly two decades. All is to say, the market's early verdict on Treasury intervention biased hard toward the view that policy cannot hold the long end down against genuine supply and inflation pressure, *at least not with a basic buyback tool*.

The Interest-Rate Move Was Justified, So the Intervention Was Both Unusual and Unnecessary

While the buyback announcement itself was small in size, its timing and nature are what matter because both were highly unusual. **Why?The move in long-term yields leading up to it had been both *global* and *squarely in line with fundamentals*.** Running independent variables from JPM's 10-year fair-value model against the long end, 30s sat modestly below model-implied fair value at year-end 2025 and sit only marginally above fair value now (well inside the model's standard error). Full note from JPM's Fixed Income Strategy team can be found here.

This year's long-end move is justified by the hawkish shift in Fed policy expectations, with long-end yields trading in line with their fundamental drivers

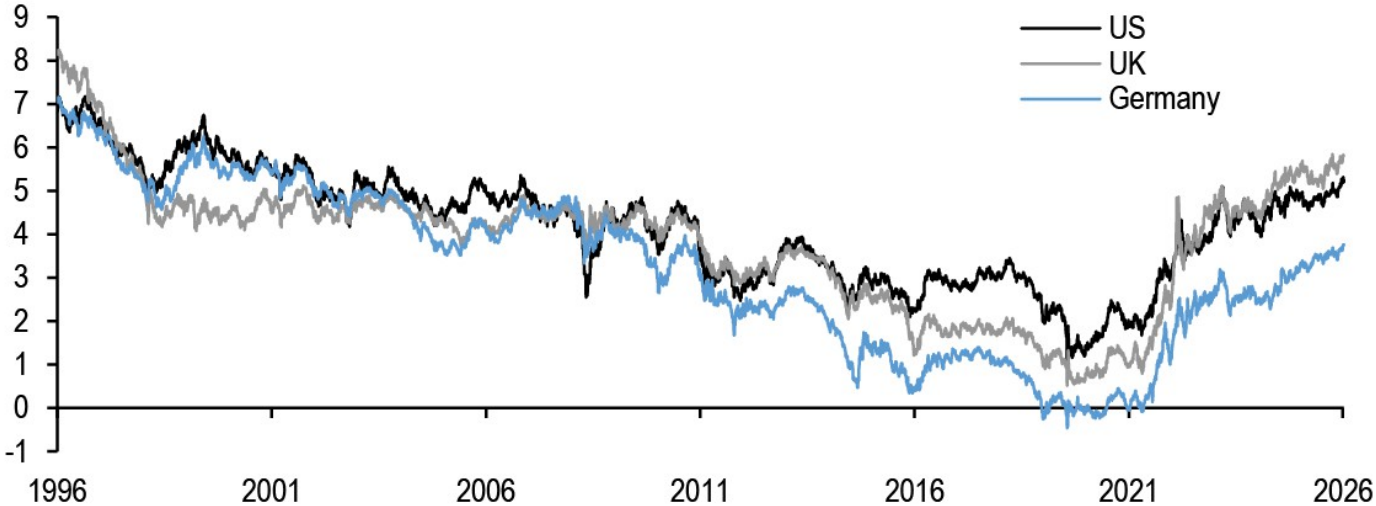
Attribution analysis of 30-year Treasury yield changes 12/31/25-8/21/26*;

Variable	Current value	YTD Chg	Coeff.	T-stat	Expected chg; bp
Intercept			9.56	11.5	
1y1y OIS rate; %	4.11	0.98	0.414	49.5	40
JPM US FRI; % pts	92.6	0.1	-0.04	-5.2	0
5y5y TIPS breakevens; %	2.07	0.02	0.284	4.6	0
Fed B/S as share of US economy	20.7	-0.2	-0.127	-33.0	2
Tariff dummy variable**	0.0	-1.0	0.144	5.9	-14
Expected change from all factors; bp					29
Actual chg; bp					45
Residual on 31-Dec-25					-5
Residual on 21-Aug-26					9

* Regression from 12/31/20-12/31/25, R-squared = 97.9%, SE = 16.0bp
** Tariff dummy equals 1 between 4/2/25 and 2/26/26, and is 0 for all other dates
Source: J.P. Morgan

Treasury yields are trading near multi-decade highs, but the same is true of German and UK yields...

30-year US, UK, and German government bond yields; %



Source: J.P. Morgan

In other words, the long end is not broken or dislocated, **it is simply doing what the fundamentals say it should**. More importantly, there is nothing in "market functioning" that *compels* the Treasury to step up long-end buybacks either. What this implies is that the recent buyback expansion is not plumbing repair, it is a discretionary attempt to lean against a fundamentally justified move, which is precisely why the **credibility cost** is the real risk. Stanley Druckenmiller went on a bit of a diatribe in a WSJ OpEd here (*this is a must read given Warsh and Bessent's prior tutelage).*

Absent real fiscal consolidation, the fear is that a more opportunistic Treasury (drifting from its "regular and predictable" tenet) feeds higher term premium and yields over time, including the tail risk of trimming long-end auction sizes.

Is the Treasury Pushing QE via TGA-funded buybacks?

Yesterday it was reported (here) that the Treasury may tap the TGA to fund the buybacks.

Why does this matter?

The Treasury General Account (TGA) can be thought of as the government's checking account held at the Fed. When cash sits in the TGA it is out of circulation, *parked at the central bank rather than in the banking system*. When the Treasury spends (by buying back bonds), that cash flows out of the Fed and into private-sector accounts, showing up as an increase in bank reserves. **More reserves in the system eases funding conditions, which looks and feels like a liquidity injection mechanically similar to what QE does.** Part of the speculation around the usage of this tool is due to the fact that the TGA is currently elevated (near $950bln), slightly above the post-OBBBA/tariff target ($850bln), and *extremely* elevated vs. Biden-era levels ($550-$600bln). **The latter figure begs the question of whether there is $350bln-$400bln of excess balance that the Treasury could run down without breaching its own comfort level.** In other words, TGA usage *technically* has firepower to add liquidity into the financial system on paper. This would get **a bit messy**, though, as it would muddy Warsh's current "market-led" Fed policy stance. Perhaps this is why both the Fed and the Treasury have been so **intentionally vague.**

The broader point is that the Treasury's actions appear an *attempt* to influence the bond market's direction by pumping liquidity, and the liquidity dimension is what matters for equities, crypto, and overall system leverage.

The counterpoint worth noting (and what JPM Fixed Income Strategy is cautious of) is that buybacks still have to be funded by new issuance ***somewhere***, so the TGA cannot manufacture new liquidity, *only shift timing*. It is effectively a front-loading of debt-ceiling risk into the fall, when the account would likely need to be rebuilt. This somewhat dilutes the "QE-trade" thrill. JPM's base case is that, unless buybacks are accompanied by fiscal adjustment, the TGA announcement *could drive term premium higher* (particularly given how little fundamental or technical reason exists to raise buyback sizes at this time).

Thus far, the knee-jerk market reaction to buyback news has been a bid to gold, bitcoin, *and swap spreads*, all of which express views of "more liquidity." They are a response to the perception that the system is being flushed with reserves. Gold and crypto also getting an excess boost from currency dilution and credibility assumptions. **While the debasement bid can still work as a narrative trade, the mechanical liquidity-injection leg of that thesis has yet to be confirmed.**

30Y USD Swap Spread on the upswing...

The Basis-Trade Transmission Is Where It All Connects

Leveraged (hedge fund) demand for the long-end of the Treasury curve is the linchpin tying intervention, the liquidity debate, and bond auction demand into a single chain. The channel connecting a TGA drawdown to *actual* Treasury buying runs through the popular Treasury basis trade: leveraged funds long cash Treasuries and short futures, a lucrative strategy that is highly sensitive to repo funding. A drawdown that pushes reserves into the system **eases repo and sustains basis-trade positioning, which is also one of the largest sources of marginal auction demand in recent years.** This said, if buybacks are funded by bills rather than the TGA, overall treasury repo impact would likely be muted, meaning liquidity support to leveraged demand is far thinner than a “QE” analogy assumes. The real question underneath everything is not whether the Treasury announced a bigger tool, it is whether enough liquidity is injected to meaningfully support leveraged demand at the long end.

Unhelpful: Two Geopolitical Fronts Open at Once

Layered on top of Treasury intervention, geopolitical risk is building on two fronts simultaneously, both of which have fed the same debasement-and-credibility narrative that was already pressuring the long end. On Iran, "Economic D-Day" rhetoric hardened into real sanctions via “Operation Economic Outcast” on Monday as Bessent looked to apply pressure on countries that don't cut economic ties to Tehran. Perhaps notable, is the fact that *he declined to say which countries would be targeted or when new penalties on Iran's trading partners would take effect*. When pressed by a reporter on why the sanctions weren't imposed immediately, he responded *"why would I want to blow up the global financial system?"* **The noticeable walk-back itself signals awareness of a financial-stability tail**. Tehran has already threatened harsh retaliation while warning Gulf states against compliance. **Up north in Canada, a fresh front cracked open over the weekend as trade talks collapsed.** Canada has since instated retaliatory tariffs, matching dollar-for-dollar the new tariffs imposed by Trump (including doubling those on US steel and aluminum products to 50%). The important takeaway is that both Canada and Iran remain unresolved, reinforcing the case for the same cross-asset hedge the rates story already points toward: gold and crypto.

Equities have an Event Wall: Nvidia and Warsh

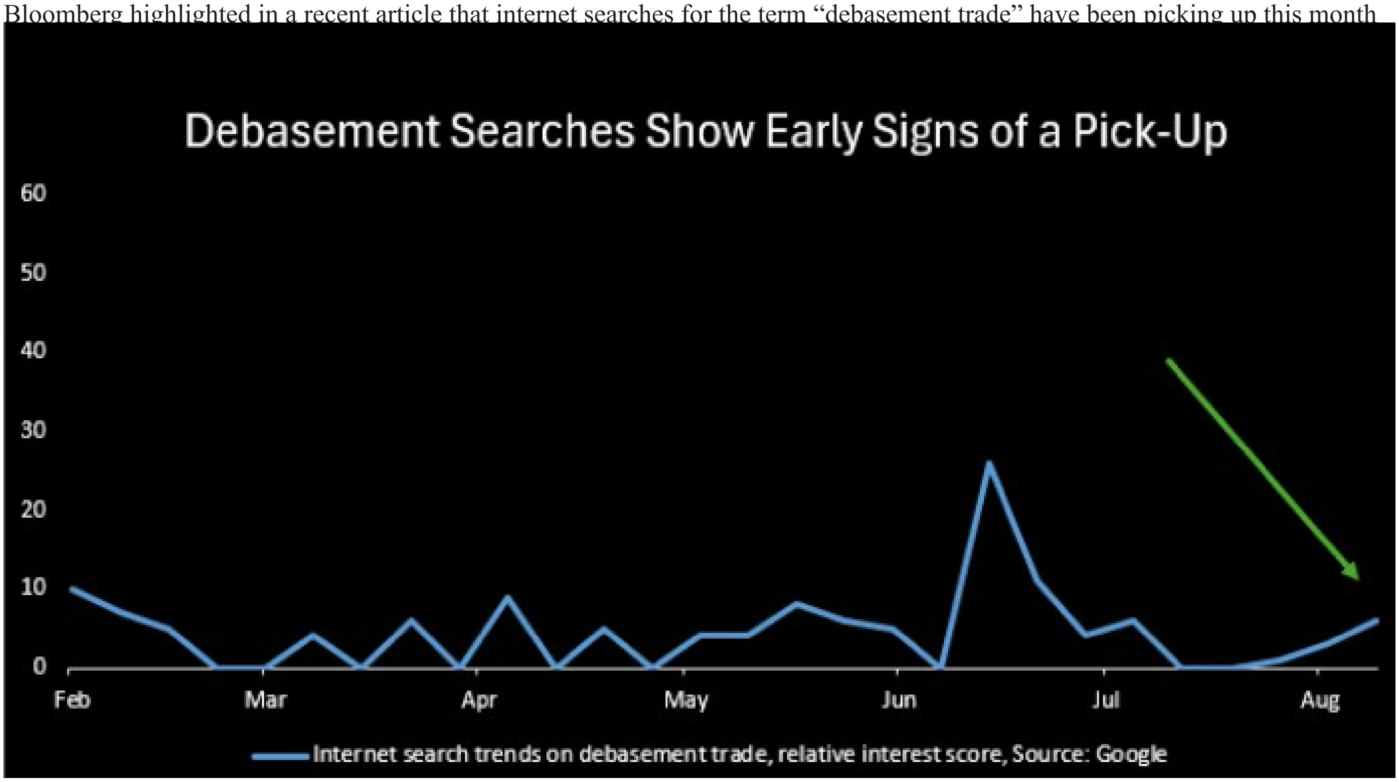
Discussion of the equity market has been noticeably absent in this note, *and that's by design*. The calendar for the rest of this week is loaded, the anticipation of which has led to anemic equity volumes amidst general investor paralysis.

What are the key things on tap?

Nvidia reports Wednesday into visible chip-complex weakness, meaning the AI-hardware bid is about to get its own referendum after Semi's have struggled to hold a bid the past 2 months. While pivotal for the equity narrative, *the print also has implications for fixed income* as the AI-capex financing surge has contributed to higher long-end yields via global crowding-out of government bonds. On the data front, the market will ingest **Real GDP 2Q and PCE on Wednesday and Warsh's Jackson Hole speech on Friday**. **While historically Jackson Hole has not produced outsized bond volatility, in the context of the recent fiscal kerfuffle, Warsh at Jackson Hole on Friday is the market's marquee event.**

Investors Are Chasing Debasement

Bloomberg highlighted in a recent article that internet searches for the term "debasement trade" have been picking up this month

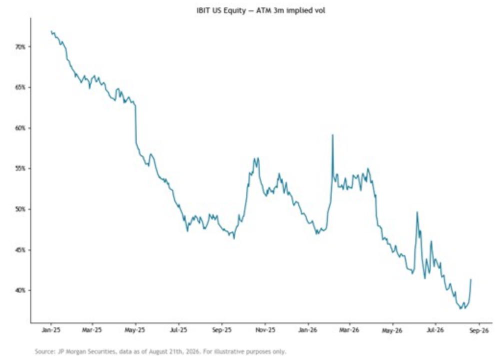


The search trend is of no surprise in the context of the recent treasury market turmoil as it feeds into already-budding dollar devaluation views. **Otherwise stated, debasement is the cross-asset expression of the market's confusion and skepticism**

around the US administration's recent policy actions, and the Treasury's actions just gave it another boost.

With gold having **already** moved a decent amount earlier this month (which was certainly of no coincidence, I wrote about long-end management as a potential driver of the initial upswing here), bitcoin outperformed *healthfully* in the more recent rally (+22% over the past week). The likely reason: favorable technical forces.

IBIT volatility had come down materially, creating a cheaper entry point for upside...



A large short covering squeeze took place in the perpetuals market….

As it stands, market vulnerability remains in the long end of the Treasury curve and resolution hinges on a few unanswered questions. Does the Treasury actually draw down the TGA versus leaning on bills? Does that liquidity reach leveraged demand through the basis trade? What tone does Warsh strike on Friday? All of this will define whether the Treasury is able to hold the long end down against fundamentally justified pressure.

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-Marissa

CTA levels

Source: JPM Research Delta-One Flows & Positioning - Updated: 8/18/2026

				Current CTA Levels							
Americas	Ticker	Current	Prior Week CTA Signal	1m Mom.	3m Mom.	6m Mom.	12m Mom.	50d MA	100d MA	200d MA	CTA Signal
S&P 500	ES1 Index	7,681	Long	7,478 2.7%	7,506 2.3%	6,893 11.4%	6,442 19.2%	7,576 1.4%	7,409 3.7%	7,122 7.9%	Long
Nasdaq 100	NQ1 Index	29,226	Long	28,695 1.9%	29,730 -1.7%	24,953 17.1%	23,429 24.7%	29,478 -0.9%	28,697 1.8%	26,937 8.5%	Long
Russell 2000	RTY1 Index	3,019	Long	2,954 2.2%	2,890 4.5%	2,650 13.9%	2,331 29.5%	2,997 0.7%	2,894 4.3%	2,726 10.7%	Long

				Current CTA Levels							
Americas	Ticker	Current	Prior Week CTA Signal	1m Mom.	3m Mom.	6m Mom.	12m Mom.	50d MA	100d MA	200d MA	CTA Signal
2y UST	TU1 Comdty	102.9	Short	102.8 0.2%	103.3 -0.4%	104.3 -1.3%	103.9 -1.0%	103.0 -0.1%	103.3 -0.3%	103.7 -0.7%	Short
5y UST	FV1 Comdty	106.2	Short	106.2 0.0%	107.2 -0.9%	109.7 -3.2%	109.1 -2.6%	106.6 -0.4%	107.1 -0.9%	108.1 -1.8%	Short
10y UST	TY1 Comdty	108.4	Short	108.6 -0.2%	109.9 -1.4%	113.3 -4.3%	112.2 -3.4%	109.1 -0.6%	109.7 -1.2%	111.0 -2.4%	Short
UST Ultra 10y Note	UXY1 Comdty	110.1	Short	110.6 -0.4%	112.2 -1.8%	116.2 -5.2%	114.2 -3.5%	111.2 -0.9%	111.9 -1.6%	113.4 -2.9%	Short
UST Long Bond	US1 Comdty	109.4	Short	110.3 -0.8%	112.5 -2.7%	118.1 -7.3%	114.6 -4.6%	111.0 -1.5%	112.0 -2.3%	114.0 -4.0%	Short
UST Ultra Bond	WN1 Comdty	110.7	Short	112.2 -1.4%	114.6 -3.4%	120.9 -8.5%	117.1 -5.5%	112.9 -2.0%	114.1 -3.0%	116.5 -5.0%	Short

JPM Global Macro Research

- **US Equity Derivatives Strategy -** Curve steepening, NDX upside, geopolitical hedges, and MRNA mean-reversion- Bram Kaplan here
- **Japan Equity Strategy: Weekly Update and Dashboard (Aug 24) -** - Rie Nishihara here
- **Delta-**One Flows & Positioning - Debasement/geopolitics boost commodities; broad sector outflows led by Financials; ETFs buy Canada & Treasuries, sell HY- Bram Kaplan here
- **Global Equity Derivatives Strategy -** Ride the Rally, Hedge the Risks; Triple Edge Signals for Systematic Hedging; Hybrids for Rate Repricing, Lookbacks for Hedge-Timing Risk- Tony SK Lee here

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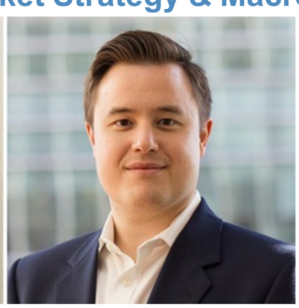

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